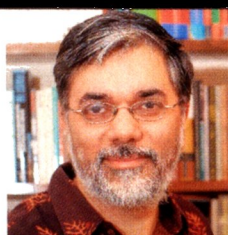


THE BITE

The UPA regime is seen to be trying to manage inflation



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What is driving inflation?

A International inflation in commodities and erroneous domestic monetary policy, especially in exchange rate targets.

A Oil and commodities (specially food, steel, cement etc) are responsible for rise in inflation.

A Inflation is being driven primarily by global factors and to a lesser extent, by domestic agro product prices.

A Global rise in demand, loose monetary policies, activity of speculative hedge funds in commodity markets especially in oil.

A Global growth, loose US monetary policy that pushed up liquidity in the world, and rising capital inflows into India.

Is the UPA Government on the right track on inflation management?

A No.

A The Government is on the right track on inflation management, though more could have been done.

A It is not. No reforms in agro produce marketing. Nor was rupee allowed to appreciate. UPA is hurting growth.

A It could have foreseen rise in food demand and reduced import duties. The budget could have been tighter.

A It is on the right track on its monetary policy broadly, but less so on fiscal and export restrictions.

How bad will it impact growth? What will be the GDP in 2008-09?

A The real damage is not so much from inflation per se but from distortionary policies. The central bank failed in handling inflation. This has damaged investors' confidence.

A Inflation will affect growth adversely. My guess is that GDP growth rate would be lower, at around 8 per cent in 2008-09.

A GDP will be 7.5 per cent.

A GDP growth will be down by at least 1 per cent. Forecast is that it will be around 7.8 per cent in 2008-09.

A GDP growth will be between 8 and 9 per cent.

The right moves UPA has made to manage inflation.

A Nothing

A Supply side management, fiscal measures including tariff policy, tight monetary policy.

A Perhaps import duty reductions could have been made earlier to curb price rise.

A Reduction in import duties and reduction in excise.

A Reduction of external tariffs on agricultural commodities.

Steps UPA should have taken in the past four years.

A Should have allowed rupee appreciation, and prevented exchange rate from distorting monetary policy.

A Should have focused on agro infrastructure, hiked industrial productivity and managed supply side.

A Should have dismantled Administered Price Mechanism, targeted subsidies and cut public expenditure.

A Should have hiked oil prices in doses over the year. Stayed away from banning exports and commodity futures.

A Should have decontrolled oil prices, reduced reserve accumulation, allowed flexible exchange rate.

INFLATION CONTROL SCORE

0
10

6
10

3
10

5
10

7.5
10